1(a)	**AO1 1 marks** **D** globalisation	**(1)**

Question Number	Answer	Mark
1(b)	**AO1 1 mark** **C** People changing jobs	**(1)**

Question Number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to cost of borrowing and 1 mark for reference to reward for lending. The cost of borrowing **(1)** and the reward for lending/saving **(1)** **OR** The cost of borrowing/the reward for lending/saving money **(1)** An interest rate is normally expressed as a % of the total borrowed/lent/saved **(1)**	**(2)**

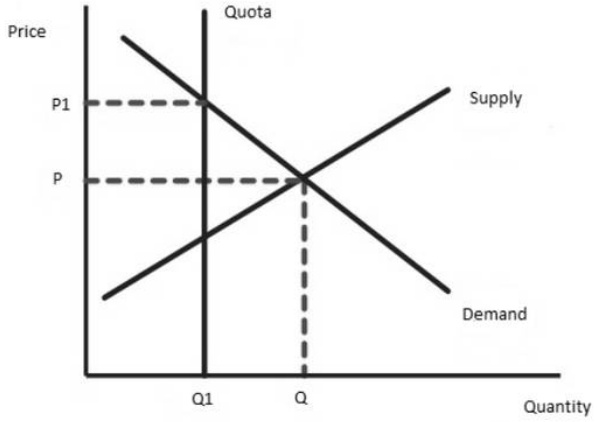
Question Number	Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for development of the impact. The cost of borrowing has become cheaper **(1)** therefore more consumers take out loans to buy products **(1)**	**(2)**

Type MS · The World Trade Organization: what it does

Answer 1 of 6 · Question 1 part g · 3 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. Award 1 mark for the correct answer. 1000/137.73 **(1)** = £7.26 **(1)** Award 2 marks if the correct answer is shown, with sterling symbol, even if no calculations are shown. Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for perfectly inelastic supply curve, labelled. Award 1 mark for higher equilibrium price, labelled. Award 1 mark for lower equilibrium quantity, labelled.  	**(3)**

Type MS · The World Trade Organization: what it does

Answer 1 of 6 · Question 1 part g · 3 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant way. Award 1 mark for developing the way. Award 1 mark for the response being in context. • One way is by the WTO hosting discussions/trade negotiations **(1)** in which countries such as the US and Canada agree to reductions in tariffs/quotas **(1)** which should result in greater free trade between countries **(1)** • One way is by the WTO having a set of rules **(1)** These aim to ensure that countries do not introduce tariffs/quotas such as the 300% tariff on aircraft **(1)** which would restrict free trade between countries **(1)** Accept any other appropriate response.	**(3)**

Type MS · The World Trade Organization: what it does

Answer 1 of 6 · Question 1 part g · 3 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fiscal policy (expansionary) is when the government increases government expenditure and/or reduces taxation • Increased government expenditure could be in the form of new infrastructure projects such as transport links or employing more public sector workers such as teachers • This should increase overall demand within the Australian economy • This results in firms raising output and having to employ more workers • Incomes will also rise resulting in further output and employment growth within the Australian economy • Unemployment should therefore be reduced in the Australian economy	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The World Trade Organization: what it does

Answer 1 of 6 · Question 1 part g · 3 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · The World Trade Organization: what it does

Answer 2 of 6 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in spending on education $\frac{59-68}{68} \times 100$ **(1)** = -13.24% **(1)** Award 2 marks if the percentage change is accurately calculated, even if no calculations are shown Award 1 mark if % is missing i.e. -13.24, even if no calculations are shown	**(2)**

Question Number	**Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • WTO helps with trade negotiations between the many different countries that are members • There are often trade disputes between the member countries such as the US who has been involved in 422 trade disputes • The WTO can help to resolve these to encourage greater free trade • WTO sets the rules of trade for the member countries that account for 98% of world trade • It encourages the reduction of tariffs and quotas as well as ensuring that the 164 members uphold these rules of trade • Without the WTO, there would be more protectionism and trade negotiations would take much longer • A reduction of protectionism should result in more free trade and therefore lower prices and increased choice for consumers	**(6)**

Type MS · The World Trade Organization: what it does

Answer 2 of 6 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The World Trade Organization: what it does

Answer 2 of 6 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A trade-off arises where having more of one thing potentially results in having less of another • Having more economic growth results in greater use of scarce and unsustainable resources in order to create goods and services • The US has seen a booming economy but at the same time this has resulted in more CO2 emissions in 2018 • This demonstrates that despite more electric cars and less coal-fired power stations that there is a trade-off between economic growth and protection of the environment • If the US government imposed more protection of the environment in terms of taxation, regulation, fines or pollution permits then this could restrict economic growth due to increased costs for firms **AO4** • However, it can be argued that there is a limited trade-off as economic growth can create wealth to help tackle CO2 emissions through the use of cleaner technologies • More economies are switching to low-carbon technologies which help to reduce pollution • Economic growth is therefore needed if people are able to afford to buy electric cars rather than cheaper petrol cars • Not all industries and firms pollute the environment and many countries are using policies such as recycling and reusing to help reduce pollution and waste • The trade-off will depend upon the priorities of the US and whether economic growth can be used to reduce environmental damage	**(12)**

Type MS · The World Trade Organization: what it does

Answer 2 of 6 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · The World Trade Organization: what it does

Answer 2 of 6 · Question 4 part b · 6 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · The World Trade Organization: what it does

Answer 3 of 6 · Question 1 part a · 1 mark

2023 JAN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** Settling trade disputes A is not correct because it does not have the power to do this C is not correct because its role is to decrease trade barriers D is not correct because this would increase protectionism	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy to increase output? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Increasing the school-leaving age A is not correct because it is a fiscal policy B is not correct because it is a monetary policy D is not correct because it would deter investment	**(1)**

Question Number	What is meant by the term economies of scale? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to falling average costs and 1 mark for reference to expansion Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · The World Trade Organization: what it does

Answer 3 of 6 · Question 1 part a · 1 mark

2023 JAN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

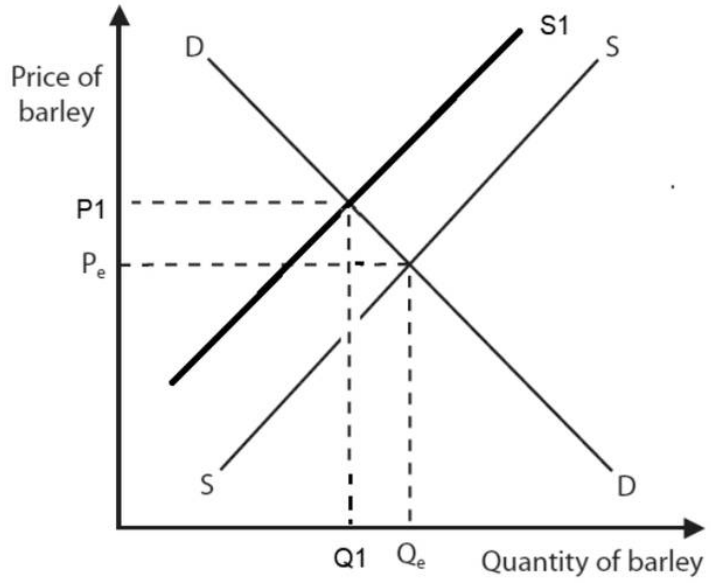
Question Number	Describe **one** advantage of free trade for consumers. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for consumers and 1 mark for development of an advantage for consumers An increase in choice **(1)** due to more foreign goods/services being imported into the country **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **net pay** in £ for Sofia. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation £22 500 x 20% = £4 500 **(1)** Award 1 mark for the correct answer £35 000 - £4 500 = £30 500 **(1)** Award 2 marks if the correct answer £30 500 is shown, with £ sign, even if no calculations are shown Award 1 mark if correct answer 30 500 is shown but with no £ sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · The World Trade Organization: what it does

Answer 3 of 6 · Question 1 part a · 1 mark

2023 JAN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · The World Trade Organization: what it does

Answer 3 of 6 · Question 1 part a · 1 mark

2023 JAN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that workers are only required for certain times of the year **(1).** Tourist attractions/holiday resorts will require more workers during the holiday season **(1).** Seasonal workers are no longer needed when the holiday season ends so are therefore seasonally unemployed **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse the benefits of a current account surplus for a country such as Australia. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A current account surplus means an economy is exporting a greater value of goods and services than it is importing • Australia's current account surplus was $18.1bn in December 2020 • Australia's current account surplus benefits the country in terms of employment as higher export sales help to create jobs • This encourages economic growth and a higher GDP • This is likely to result in a higher standard of living for people living in Australia • Australia's current account surplus will mean that it will have surplus foreign exchange it can use to invest in other countries	**(6)**

Type MS · The World Trade Organization: what it does

Answer 3 of 6 · Question 1 part a · 1 mark

2023 JAN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The World Trade Organization: what it does

Answer 3 of 6 · Question 1 part a · 1 mark

2023 JAN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as: **Answer**	Mark

Type MS · The World Trade Organization: what it does

Answer 4 of 6 · Question 1 part d · 2 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The tax rate increases as income increases A is not correct because this does not describe a characteristic of progressive taxation B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive D is not correct because progress taxation is not linked to GDP	**(1)**

Question Number	Which **one** of the following describes a fiscal surplus? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **D** Government revenue is greater than government expenditure A is not correct because this describes current account surplus B is not correct because this describes a current account deficit C is not correct because this describes a fiscal deficit	**(1)**

Question Number	What is meant by the term income inequality? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Differences in income **(1)** between different groups of earners **(1)** **OR** The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)** Accept any other appropriate response	**(2)**

Type MS · The World Trade Organization: what it does

Answer 4 of 6 · Question 1 part d · 2 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

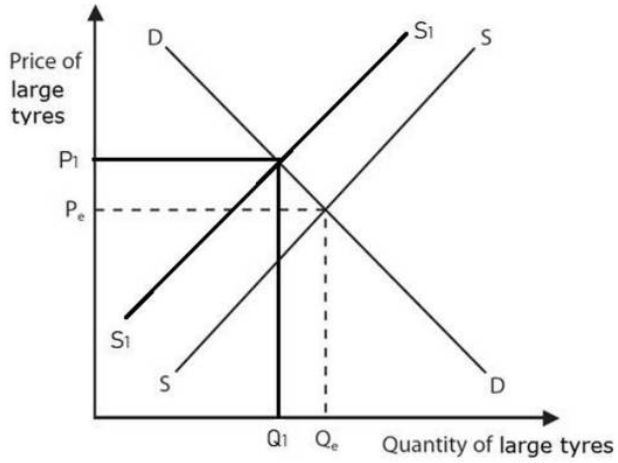
Question Number	Describe **one** role of the World Trade Organization (WTO). **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the role and 1 mark for development of the role It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)** **OR** $\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer = 5.88% **(1)** Award 2 marks if the correct answer is 5.88% even if no calculations are shown Award 1 mark if the answer given is 5.88 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · The World Trade Organization: what it does

Answer 4 of 6 · Question 1 part d · 2 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · The World Trade Organization: what it does

Answer 4 of 6 · Question 1 part d · 2 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** advantage of free trade for businesses in Ecuador. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)** • One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer confidence is an economic indicator that gauges consumers' perception of the economy • High rates of inflation could reduce confidence in Germany • Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards • This is because they cannot afford to purchase the same amount of goods and services • Consumer confidence will fall and may make them more cautious and less willing to borrow money • Savings may increase to safeguard against the future • High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much	**(6)**

Type MS · The World Trade Organization: what it does

Answer 4 of 6 · Question 1 part d · 2 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · The World Trade Organization: what it does

Answer 4 of 6 · Question 1 part d · 2 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	What is the main reason for a government to devalue its currency? **Answer**	Mark

Type MS · The World Trade Organization: what it does

Answer 5 of 6 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Number of unemployed/Total labour force x 100 A is not correct because this calculates the labour force participation rate C is not correct because this calculates the employment rate D is not correct because this calculates the unemployment rate as a percentage of the total population	**(1)**

Type MS · The World Trade Organization: what it does

Answer 5 of 6 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following describes a role of the World Trade Organization (WTO)? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** Help with trade negotiations B is not correct because this is not carried out by the WTO C is not correct because the WTO does not offer financial assistance to any countries D is not correct because the WTO does not get involved in exchange rate fluctuations	**(1)**

Question Number	State **one** possible reason for a current account surplus. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible reason • Improving quality of domestic goods • Poorer quality of foreign goods • Lower price of domestic goods • Higher price of foreign goods • Depreciating exchange rate • Value of exports is greater the value of imports Accept any other appropriate response	**(1)**

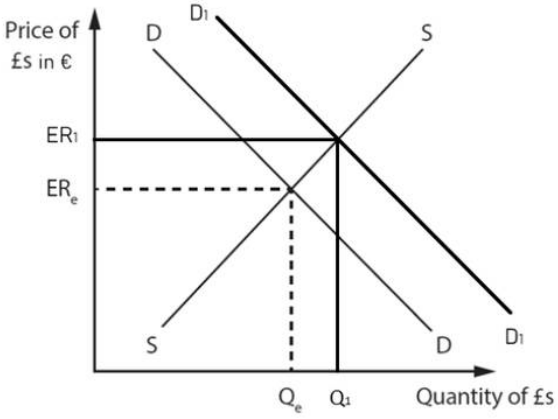
Question Number	What is meant by the term relative poverty? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The standard of living is below **(1)** the typical average living standards in that society **(1)** Accept any other appropriate response	**(2)**

Type MS · The World Trade Organization: what it does

Answer 5 of 6 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** benefit of asset purchasing by a central bank such as the ECB. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that this can lead to higher levels of consumer and business spending **(1).** Purchasing assets injects money into the economy **(1)** which can stimulate economic growth **(1)** • One benefit is (aggregate) demand will increase **(1)** because of the increase in the flow of money from central banks to commercial banks **(1).** This extra money can be loaned to consumers and firms **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of this rise in UK interest rates on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Type MS · The World Trade Organization: what it does

Answer 5 of 6 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how a recovery may affect unemployment for a country such as China. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The recovery phase follows a recession and is marked by an increase in economic activity • As Chinese firms begin to recover from the downturn, they may increase production and hire more workers, particularly in the services and construction sectors, to meet the rising demand for goods and services • This can lead to an increase in job creation and a decrease in unemployment • During the recovery phase consumer confidence may increase leading to higher consumer spending and further stimulating economic growth • This can also lead to increased job creation as Chinese firms respond to the higher demand for their products or services • As the Chinese economy improves and consumer demand increases, there may be more opportunities for individuals to start their own firms and create jobs for themselves and others **AO4** • However, there are also potential challenges to job creation during the recovery phase • Chinese firms may be hesitant to hire new workers if they are concerned about the sustainability of the recovery or uncertain about future economic conditions • The 5% economic growth target might not be achieved and some analysts expect the growth in exports to be temporary • During the recovery phase, firms may take advantage of the improving economic conditions to invest in new technologies or automation that could replace some jobs with machines • This could lead to job losses in certain sectors or industries • Some sectors of the Chinese economy may recover more slowly than others so unemployment may not fall in all sectors of the economy	**(9)**

Type MS · The World Trade Organization: what it does

Answer 5 of 6 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · The World Trade Organization: what it does

Answer 5 of 6 · Question 2 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	What is the fiscal deficit/surplus? **Answer**	Mark

Type MS · The World Trade Organization: what it does

Answer 6 of 6 · Question 2 part c · 1 mark

2025 NOV · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** A group of countries that reduce trade barriers between themselves A is not correct because a trade bloc does not require member countries to use the same currency B is not correct because a trade bloc does not necessitate that member countries have the same tax rates C is not correct because often countries have different languages	**(1)**

Question Number	Which **one** of the following best describes the role of currency speculators? **Answer**	**Mark**
2(b)	**AO1 1 marks** The only correct answer is: **B** They trade currencies to profit from changes in exchange rates A is not correct because they invest in currencies and not bonds C is not correct because they cannot lend money to countries D is not correct because only governments can fix currencies	**(1)**

Type MS · The World Trade Organization: what it does

Answer 6 of 6 · Question 2 part c · 1 mark

2025 NOV · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	State **one** possible role of the World Trade Organization (WTO). **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible role • Trade negotiations • Settling trade disputes • Building membership of the WTO • Monitoring WTO rules are being followed • Persuading countries to reduce tariffs/quotas/trade barriers • To promote free trade Accept any other appropriate responses	**(1)**

Question Number	What is meant by the term economic growth? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A rise in the total value of output/GDP **(1)** over a period of time **(1)** **OR** An increase in the level of output **(1)** by a nation **(1)** Accept any other appropriate response	**(2)**

Type MS · The World Trade Organization: what it does

Answer 6 of 6 · Question 2 part c · 1 mark

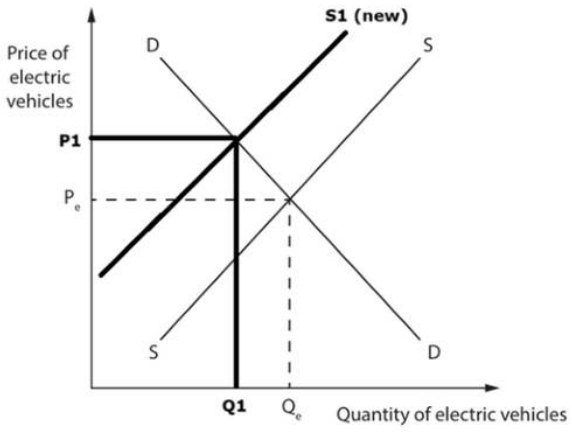
2025 NOV · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in government spending on benefit payments. **(1)** The government will need to allocate more funds to unemployment benefits **(1)** to support the increasing number of those without work/no income **(1)** Accept any other appropriate response	**(3)**

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Question Number	Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a left shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

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Question Number	With reference to the data above and your knowledge of economics, assess how effective monetary policy is likely to be in increasing output for a country such as New Zealand. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The central bank of New Zealand's recent reduction in the base rate to 5.25% could encourage businesses to borrow and invest, potentially boosting output in a difficult economic environment • The reduction makes loans more affordable for households, which can directly lead to increased spending and sales for firms • Lower interest rates may stimulate consumer spending, which has been weak, thereby increasing demand for goods and services and driving up production • Expansionary monetary policy can weaken the New Zealand currency, making exports more competitive and increasing output in export-driven industries • Monetary policy adjustments can be quickly implemented, providing a timely boost to economic output which is struggling with rising unemployment and low consumer confidence **AO4** • However, given the ongoing economic difficulties, including weak consumer confidence, the reduction in the base rate from 5.5% to 5.25% may not be sufficient to significantly boost spending and output • The small size of the rate cut may have only a minimal impact on boosting economic activity and increasing output • Firms in New Zealand may remain hesitant to invest despite the rate cut due to uncertainties like rising unemployment and reduced investment activity • Expansionary monetary policy can lead to inflationary pressures, which might offset gains in output by reducing purchasing power • Monetary policy may be less effective if the economy is already at or near full capacity, leading to limited increases in output

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

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Question Number	In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online? **Answer**	Mark